Mergers and acquisitions

Two of the quickest ways to accelerate expansion are for a business to buy out another—an acquisition—or to amalgamate with another business in a merger.

How it works

Mergers and acquisitions (M and A) is a general term used to describe the ways in which companies are bought, sold, and recombined. In the case of either a merger or an acquisition, two separate legal entities are unified into a single legal entity. While a merger combines two companies on a reasonably equal footing to create a new company, which will make both parties better off, an acquisition is usually a purchase of a smaller company by a larger one. This benefits the company making the purchase but may not necessarily benefit the target company. M and A can be friendly or hostile—agreed to or imposed.

REASONS TO PURSUE M AND A

- **Improved economies of scale** Wider operations streamline production and sales.
- **Bigger market share** Combining the existing markets expands share of the total market.
- **Diversification** A different product lineup gives the chance to cross-sell or create more efficient operations if the products are complementary.